CT-1: Transection Analysis Problem

Monica Bass owns and operates an interior design studio called Enchanting Designs. The following amounts summarize the financial position of her business on August 31, 20XX:

Assets				=	Liabilities +	Owner's Equity
Cash	Accounts Receivable	Supplies	Land	=	Accounts payable	Monica Bass, Capital
Bal. 2250	1500		12000		8000	7750

During September 20XX, the following events occurred.

a.	Bass inherited $ 20000 and deposited the cash in the business bank account.
b.	Performed services for a client and received cash of $700.
c.	Paid of the beginning balance of accounts payable.
d.	Purchase supplies on account, $1000.
e.	Collected cash from a customer on account, $1000.
f.	Invested personal cash of $1000 in the business.
g.	Consulted on the interior design of a major office building and billed the client for services rendered, $2400.
h.	Recorded the following business expenses for the month: 1. Paid office rent, $900. 2. Paid advertising $100.
i.	Sold supplies to another business for $150 cash, which was the cost of the supplies.
j.	Withdrew cash of $2000 for personal use.

Required:

I.	Analyze the effects of the preceding transactions on the accounting equation of Enchanting Dsigns.	6
II	Prepare income statement, statement of owner's equity & balance sheet.	4